Q3 Fraud Risk Review - Meridian Card Services

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1. Summary

Meridian Card Services processed 10,000 card transactions in the review window. 151 transactions (1.51%) were confirmed as fraud. Fraud is heavily concentrated in a few conditions rather than spread evenly across the portfolio.

2. Key risk drivers

Night-time window: transactions between 00:00 and 05:59 have a fraud rate of about 5.1%, compared with roughly 0.3% to 0.4% in the morning, afternoon and evening. 124 of the 151 fraud cases happened at night.

Low device trust: devices with a Sentinel DeviceID trust score below 40 show a 6.2% fraud rate, versus 0.3% for devices scoring above 70.

Foreign transactions show an 8.4% fraud rate and location mismatches also show an 8.4% fraud rate, roughly ten times the domestic baseline of 0.8%.

High velocity: cards with 5 or more transactions in 24 hours have a fraud rate near 10%.

3. Merchant categories

Grocery has the highest fraud rate at 2.0% (39 cases), followed by Food at 1.7% (35 cases) and Travel at 1.5% (29 cases). Electronics and Clothing are the lowest at about 1.2% each. This contradicts the common assumption that Electronics is our riskiest category.

4. Customer segments

Fraud rates are flat across age groups (1.3% to 1.6%), so age is not a useful risk signal on its own.

5. Recommendations

a) Apply step-up authentication to night-time transactions that also carry a Low Device Trust or Foreign Transaction flag.

b) Extend the partnership with Sentinel DeviceID Ltd to cover all mobile channels.

c) Keep velocity rule VR-5 in force; it targets the High Velocity risk factor.

d) Arjun Mehta will lead a deep-dive into Grocery fraud and location mismatch patterns.